Nominal Returns 1973-2013	T-Bills	Bonds	Stocks	GMP
Returns	5.27%	7.74%	10.21%	9.90%
Volatility	0.97%	8.43%	15.57%	8.45%
Sharpe	0.00	0.29	0.32	0.55
Max Drawdown	0.00%	-15.79%	-50.95%	-26.87%

Real Returns 1973-2013	T-Bills	Bonds	Stocks	GMP
Returns	0.99%	3.34%	5.71%	5.42%
Volatility	1.24%	8.73%	15.74%	8.76%
Sharpe	0.00	0.27	0.30	0.50
Max Drawdown	0.00%	-44.75%	-54.12%	-34.10%

Real Returns 1973-1981	T-Bills	Bonds	Stocks	GMP
Returns	-0.71%	-5.08%	-3.92%	-2.97%

Real Returns 1982-2013	T-Bills	Bonds	Stocks	GMP
Returns	1.48%	5.85%	8.61%	7.92%

Real Returns 1973-2013	T-Bills	Bonds	Stocks	GMP
1970s	-1.55%	-4.23%	-5.26%	-2.56%
1980s	3.81%	7.22%	11.67%	10.65%
1990s	1.95%	4.87%	14.71%	7.89%
2000s	0.19%	3.92%	-3.38%	3.13%
2010s	-1.82%	2.17%	13.73%	6.59%
Volatility	2.38%	4.33%	9.78%	5.08%

Source: Global Financial Data

We don’t include commodities in this portfolio since it is difficult to estimate market composition, but we believe they provide a vital portfolio diversification element. So what if you altered the above global market portfolio to include commodities? In this case, we’re ball-parking a reasonable number, and we add a 5% allocation each to commodities and gold, and reduce the other allocations proportionally. We will call this portfolio the Global Asset Allocation or “GAA” portfolio. The results were not hugely different, though risk-adjusted returns did improve, as did the consistency.